So long as the number of defects does not exceed 5, the supervisors/foremen (subordinates) will handle the problem. Whenever there are more than 5 defects, the matter will be reported to the production manager.

Management by exception (MBE) has both a general business application and a business intelligence application. General business exceptions are cases that deviate the normal behavior in a business process and need to be cared for in a unique manner, typically by human intervention. Their cause might include: process deviation, infrastructure or connectivity issues, external deviation, poor quality business rules, malformed data, etc.

## 3.08 Process of MBE

Primarily, it is necessary to set objectives or norms with predictable or estimated results. These performances are assessed and get equated to the actual performance. Next, the deviation gets analysed. With an insignificant or no deviation, no action is required and senior managers can concentrate on other matters. If actual performances deviates significantly, the issue needs to be passed to the senior managers, as an "exception has occurred". Finally, the aim is to solve this "exception" immediately.

## 3.09 Advantages of MBE

Management by exception provides the following benefits:

i. It saves the time of managers because they deal only with exceptional matters. Routine problems are left to subordinates.

ii. It focuses managerial attention on major problems. As a result, there is better utilisation of managerial talents and energy.

iii. It facilitates delegation of authority. Top management concentrates on strategic decisions and operational decisions are left to the lower levels. There is increase in span of control. This leads to motivation and development of subordinates.

iv. It is a technique of separating important information from unimportant one. It forces managers to review past history and study related business data for identifying deviations. There is better use of knowledge of trends, history and available business data.

v. MBE keeps management alert to opportunities and threats by identifying critical problems. It can avoid uninformed and impulsive action.

vi. Management by exception provides better yardsticks for judging results. It is helpful in objective performance appraisal.

## 3.10 Disadvantages of MBE

i. The main disadvantage of MBE is, only managers have the power over really important decisions, which can be demotivating for employees at a lower level.

ii. Furthermore, it takes time to pass the issues to managers. Managing employees who deviate from the normal procedures. Because of compliance failures are considered difficult to manage and typically find themselves with limited job duties and ultimately dismissed/terminated.

**Key Words**

Harmonise Appraisal Terminated

### For Own Thinking

1. Discussion on the various functions of management, how it helps to MBE?
2. State your own view about MBO and MBE need to the management.
3. Make your own project about MBO and MBE with some examples.



12th Commerce Unit 1.indd 20 12/12/2020 2:08:13 PM